

This stamp paper forms an integral part of the agreement bearing unique ID No. 24-3997035, executed between Shri Ram Finance Corporation Pvt. Ltd. and the Borrower/Co-Borrower/Guarantor.



**SHRI RAM FINANCE CORPORATION PRIVATE LIMITED**

**MSME LOAN BACKED BY VEHICLE**

**SHRI RAM FINANCE CORPORATION PRIVATE LIMITED**

**BRANCH: Raipur**

|                       |                   |          |               |
|-----------------------|-------------------|----------|---------------|
| NAME OF THE BORROWER  | Kuldeep Niranjana | I.D. No. | XXXXXXXXX9036 |
| NAME OF THE GUARANTOR |                   | I.D. No. |               |
| VEHICLE NUMBER        | MP36ZA9597        |          |               |

**REGISTERED OFFICE**

RAIPUR ROAD BALODA BAZAR, DISTT. BALODA BAZAR, RAIPUR, CHHATTISGARH, INDIA,  
493332

**ADMINISTRATIVE OFFICE**

29/B-7, Parishram Tower, in front of Doordarshan TV Tower, Shankar Nagar, Raipur, Chhattisgarh 492007

**LOAN-CUM-HYPOTHECATION AGREEMENT**

This agreement made at . On This Day Of 21-09-2024 10:57 AM Between **Mr. KULDEEP NIRANJAN , MATWANA, TIKAMGARH, MADHYA PRADESH, 472331** [here in after referred to as the “Borrower(s)” which expression shall ,unless repugnant to the context of the meaning thereof be deemed to mean and include his/her/its/their respective heirs , executors, administrators, nominees, attorneys and legal representative, successor in interest as the case may be] of the “FIRST PART”

And [here in after referred to as the “ Guarantor(s)” which expression shall, unless repugnant to the context of the meaning thereof be deemed to mean and include his/her/its/their respective heirs , executors, administrators, nominees, attorneys and legal representative, successor in interest as the case may be] of the “SECOND PART”

M/s Shri Ram Finance Corporation Private Limited a Non-banking Finance Company incorporated under Companies Act, 1956 having its registered office at Raipur Road Baloda Bazar, Distt. Baloda Bazar, Raipur, Chhattisgarh, India, 493332 [here in after referred to as the “SRFCPL” which expression shall, unless repugnant to the context of the meaning thereof be deemed to mean and include its permitted successor and assigns] of the “THIRD PART” WHERE AS

SRFCPL is inter alia engaged in the business of extending loans for Enhancement Of Business and working capital requirements against the motor vehicle, machinery and other assets [herein after referred to as “THE ASSET” The Borrower’s has / have requested SRFCPL for financial assistance for business and working capital requirements against this security of the existing vehicles which is free from any encumbrance fully described in schedule –I of this agreement. The borrowers in consideration of having availed the loan facility has/ have agreed to abide by the terms and conditions stipulated by SRFCPL and more fully set out hereunder and in particular not to deal with schedule mentioned / collateral asset by way so sale, alienation, hypothecation, pledge or in any other manner whatsoever except as herein authorized by SRFCPL. in writing until the entire due amount under this agreement is paid to SRFCPL

# **NOW THIS AGREEMENT WITNESSETH AS FOLLOWS**

## **Clause 1**

### **Definitions**

In this agreement unless the context otherwise requires:-

This term “Assets” or “the said Assets” means the vehicle , equipment/machinery for the purchase/in respect of which the loan has been granted by SRFCPL to the borrower’s and which is hypothecated by the borrower in favor of SRFCPL by way of security, more fully described in schedule–I of this agreement.

The expression “Installments” means the amount of monthly payment specified in the second schedule –II necessary to amortize the loan with interest, over the period of the loan

The term “Loan” means the loan referred in Clause 2.1 of this agreement.

The term “Repayment” means premature repayment as per the terms and condition laid down by SRFCPL in that behalf and in force at the time of repayment as provided for in the clause 16 of this agreement

The expression “Rate of Interest” means the rate of Interest referred in clause 2.2 of this agreement.

The term “Repayment” means the repayment of the principal amount of loan , interest thereon, commitment and /or any other charges, premium , fees or other dues payable in terms of this agreement to SRFCPL, and means in particular amortization provided for in clause 2.6 of this agreement.

The term “Schedule-I” And “Schedule-II” mean the First and second schedule of this agreement.

The term and expression not defined herein shall, have the same interpretation and meaning as defined under the General Clause Act 1897. All terms used in singular shall unless the context requires otherwise, include plural and a reference to one gender shall include all genders

## **Clause 2**

### **Loan and Interest**

#### **2.1 Amount and term of loan**

The borrower has agreed to borrow from SRFCPL and SRFCPL has agreed to grant the loan to the borrower for the purpose of for business and working capital requirement against the security of the existing vehicle as stated in schedule –I and II respectively, on the terms and conditions herein set forth This agreement entered into between SRFCPL and the borrower in connection with the loan is a financing arrangement and the borrower shall bear all risk in relation to the financing obtained and vehicle secured under this agreement

This agreement entered into between SRFCPL and the borrower in connection with the loan is a financing arrangement and the borrower shall bear all risk in relation to the vehicle purchased pursuant to the financing obtained under this agreement

#### **2.2 Interest**

The rate of interest is as stated in the loan sanction letter and schedule –II of this agreement and the borrower shall be liable to pay the same from the date of disbursement of the loan

The rate of interest stipulated in schedule shall remain fixed during the term of loan facility, SRFCPL shall however at its discretion be entitled to revise from time to time , upward or downward, the rate of interest applicable for the loan during the subsistence of the agreement , such variations would be subject to the terms of loan sanction letter and would be intimated to Borrowers and binding upon the borrowers

The interest shall accrue from the day the loan is disbursed and shall be calculated on day-to-day basis and is rounded off to the next rupee calculated on daily reducing balance. Interest shall be computed on the basis of the three hundred sixty-five days in a year and actual number of days elapsed.

The borrowing under this agreement is commercial transaction between borrowers/ guarantor waives any defense under the usurious or any other law relating to changing of interest.

### **2.3 Details of Disbursement**

SRFCPL shall have the sole discretion to determine the manner of the disbursement; i.e. either to the owner of the Asset or to the Borrower or to the person so authorized by the Borrower and such disbursement made to one or more persons as aforesaid shall be deemed to be disbursement to the borrower as contemplated under this agreement. The borrower shall indicate the manner of disbursement of loan, which may lump sum or in suitable installments having regard to the needs of the borrower.

### **2.4 Terms of disbursement**

Notwithstanding anything to the contrary contained herein SRFCPL may, by notice to the borrower, suspend or cancel further disbursements of the loan as its sole discretion if the loan granted shall not have been fully drawn during the availability period . The borrower in such an event shall be liable to immediately repay to SRFCPL the amount already disbursed by SRFCPL together with interest.

### **2.5 Processing Charges**

The borrower shall be liable to pay to SRFCPL a non-refundable , non-adjustable processing charges as may be levied by SRFCPL at the time of and together with the application for the loan as mentioned in the loan sanction letter.

### **2.6 Repayment of loan**

a) The repayment of the installment shall be made by borrower . the details such as installments numbers, due dates and amount in respect of the installments are described in the schedule –II of this agreement . the repayment schedule is without prejudice to the right of SRFCPL to be paid on demand as contemplated under this agreement , the entire loan amount with other dues . Further the computation/ fixation of the installments will be without prejudice to the right of the SRFCPL to recompute the amount of installments and interest thereon , including in case it is discovered at any stage that the installments have been computed wrongly.

b) The borrower agrees that time is essence of the contract

c) The repayment of the installments shall commence and continue irrespective of delay/ non delivery of the asset to the borrower by the dealers/manufacturers/ seller and notwithstanding any difficulties

that the borrower may be facing or any disputes or grievances which the borrower may have with or against the dealers/ manufacturers / any person or in respect of the delivery of the asset or in respect of the asset itself

d) No notice, reminder or intimation will be given to the borrower regarding his obligation to pay the installments regularly on the due dates or presentation of NACH or insurance premium amount. It shall entirely be the responsibility of the borrower to ensure prompt and regular repayment of the same.

e) Without prejudice to any other rights and remedies which the SRFCPL may have under this agreement and / or under the prevalent law, in the event of any delay by the borrower in any payment to SRFCPL under this agreement SRFCPL shall be entitled to charge a delayed payment flat rate of interest **19.5% (Non Reducing)** That Is 34.28 % IRR Effective Rate charged and payable on a monthly basis compounded on monthly rests for and during period of such arrears, whether of loan, interest or any other charges payable herein. The aforesaid mentioned delayed payment interest would not affect the obligation of strict compliance with repayment schedule, it being an essential condition for the front of the loan.

f) Any dispute being raised about the amount due or interest computation will not entitle the Borrowers to withhold payment of any installments.

## **2.7 Mode of payment of Installments**

a) Subject to the terms and conditions stipulated hereunder, the repayment shall be by way of cheques or by NACH or in cash or by demand draft or any other accepted modes or transfer of funds permitted under the Indian banking system to SRFCPL as per second schedule. The borrower acknowledges that strict compliance by him/ her with the repayment schedule is an essential condition for the grant of the loan.

b) It is agreed and understood by the borrower that non presentation of cheques by SRFCPL due to any reason whatsoever will not affect liability of the borrower to repay the loan, SRFCPL shall not in any way be responsible for delay, omission or neglect in encashment, damage or loss or loss of any cheques [already given or to be given by the borrower to SRFCPL in terms hereof] for any reason whatsoever.

c) Without prejudice to any other rights and remedies SRFCPL may have under this agreement and /or under the prevailing law the borrower shall be liable to pay all charges as stated in the sanction letter, which forms part of this agreement. The quantum of the levy of charges upon dishonoring of cheque is without prejudice to the other rights which the SRFCPL may have under the negotiable instrument act 1881/ Payment and settlement system act 2007 or any other enactment as in force for the time being and without prejudice to the other rights which the SRFCPL may have under this agreement or under law of equity. SRFCPL reserves the right to vary the charges stipulated in the sanction letter from time to time with due intimation to the borrower.

## **2.8 SRFCPL right to alter modify or restructure the installments and transfer the Account**

a) SRFCPL shall be entitled to, if SRFCPL deems fit in the circumstances, alter or re schedule the installments in such manner and to such extent as SRFCPL may, in its sole discretion, decide with due notice to the borrower and upon getting his consent in writing the repayment shall be made by the borrower as per the said alteration and /or re scheduling from the date on which the installments are altered/ modified/ restructured, notwithstanding anything stated in schedule II.

b) On a request being made by the borrower to SRFCPL for transfer of his / her account to any other party either existing or new it is purely discretionary on the part of SRFCPL to consent or reject the said request. SRFCPL further agrees to communicate his/ her decision on such request to the borrower within 21 days from the date of receipt of such request.

## **Clause 3**

## Security

1. In consideration of SRFCPL having granted or agreed to grant to the borrower the loan facility subject to the terms and condition mentioned herein , the borrower hereby hypothecates/ agrees to hypothecate and create in favor of the SRFCPL, an exclusive first charge of the asset together with all accessories , in addition to or in the said asset whether present or future and improvements , renewals and replacement made or to be made on the asset as detailed under schedule –I against which the loan facility is being availed which the guarantor acknowledges . In this regard, the borrower has also executed the irrevocable power of attorney in favor of SRFCPL. The borrower and the guarantor also agree and undertakes to execute such further documents and complete such formalities as may be required by SRFCPL to perfect the charge of SRFCPL on the asset.
2. The hypothecation shall be deemed to take effect immediately on disbursal of loan amount or upon signing of this agreement or delivery of the asses whichever is earlier.
3. The charges created by the borrower in Clause 3.1 hereof shall stand as security for the due repayment by the borrower of the loan granted by SRFCPL to the borrower and of all fees and interest , costs and expenses incurred or to be incurred by SRFCPL hereunder and all other monies payable by the borrower of SRFCPL pursuant to the terms hereof.
4. The charge created by the Borrower herein shall continue unless and until SRFCPL issues a certificate discharging the security created herein and shall not affect, impair or discharge the liability of the Borrower by insolvency, arrangements with Creditors, mental disability or physical disability, winding up (voluntary or otherwise) or by any merger or amalgamation, reconstruction, takeover of the management, dissolution or nationalization (as the case may be) of the Borrower.
5. If the asset has not been delivered to or in the case of vehicle which has not been registered in the name of the Borrower at the time of execution of the Agreement, the particulars of the vehicle that are not available at such time and shall be intimated in writing by the Borrower to SRFCPL within one week of such delivery and/or registration and such particulars shall be read as a part and parcel of the Schedule- I hereunder as if they had been incorporated therein at the time of execution of this Agreement. The Borrower agrees not to take the plea that, since on the date of execution of this Agreement, the details of the Asset or any part thereof were not available, the charge is inoperative, defective or invalid or in any way unenforceable..
6. The Borrower hereby confirms that the Borrower is aware of all the detail of the Asset(s).
7. The Borrower has also executed a demand promissory note by way of security for the amount of loan and interest thereon.
8. SRFCPL may require the Borrower to furnish such additional securities including guarantee(s) from third party, as the SRFCPL may deem fit, at its sole discretion. In such an event, the Borrower shall provide such additional security and, in this regard, execute such Agreements, undertakings, power of attorney/s that may be required by SRFCPL. The Borrower shall not revoke or terminate any such contracts, agreements, undertakings, documents, etc., till all the amounts due and payable by the  
  
borrower to SRFCPL under this Agreement have been paid in full and certified so by SRFCPL.
9. The Guarantor/s hereby unconditionally guarantees the due and prompt Repayment of all and every sum due and payable by the borrower under this agreement and guarantee the due performance and observance by the Borrower of all the stipulation and conditions mentioned in this agreement. The Guarantor confirms that, he shall not be discharged from the guarantee hereby provided, by SRFCPL giving time to the Borrower for payment of sum or any other indulgence of the failure, omission or inability of SRFCPL to enforce its right against the hypothecated asset. The Guarantor agrees that, the Guarantor is the principal debtor jointly with

Borrower and hence gives up any right conferred on sureties under Section 133, 134, 139 and 141 of Indian contract Act. 1872 or the any other provisions thereof. SRFCPL has the right to proceed against the Borrower/Guarantor in any order at its discretion and the Guarantor hereby agrees that, he shall not question the claim made by SRFCPL on any ground whatsoever.

10. The Borrower as well as Guarantor agrees and undertake that notwithstanding, the hypothecation, guarantee or any other securities, they shall always remain personally liable for payment of all amounts due to SRFCPL under this agreement, which may be enforced against them, their estate and properties irrespective of any other rights or remedies as may be available to SRFCPL.

11. WHERE the Borrower is a Company, the Borrower and Guarantor agree and undertake to file the prescribed form with registrar of Companies (ROC) for creation of charge over the Asset in favor of SRFCPL.

#### **Clause 4**

##### **APPROPRIATION OF PAYMENTS**

1. SRFCPL shall have a right to appropriate any payments due and payable under this loan agreement and made by the Borrower towards dues as a whole or in part at the rate SFRC deems fit, towards the following: -
2. Repayment of installments
3. Costs, charges, expenses, insurance premium, statutory dues and other monies;
4. Interest on costs, charges, expenses and other monies;
5. Service charges
6. Interest including delayed payment interest, if any, payable in terms of the Loan agreement
7. Premium on prepayment
8. Repayment of dues under any other contract/s, irrespective of the capacity either as borrower or guarantor under the said contract/s
9. Cheque bounce charges and bank charges
10. Repayment of dues under any other contract.

#### **Clause 5**

##### **PRE-DSBURSEMENT CONDITION**

Prior to disbursement of the Loan by SRFCPL, the Borrower shall furnish to SRFCPL the documents in proof of the payment made by him to the dealers/manufacturers/ any person by way of his contribution towards the cost of the asset, and also the proforma /original invoice.

#### **Clause 6**

##### **CONDITIONS FOR DISBURSEMENTS**

1. The obligation of SRFCPL to make any disbursements under the loan Agreement shall be subject to the following conditions: -

- a. The representation and warranties of the Borrower/Guarantor contained in this Agreement shall be true (i) as on the date hereof and (ii) as on the date of the intended disbursement (as if made on such date) availment of the loan.
- b. The Borrower shall create security, furnish the guarantee/s including any guarantees/ securities provided by the Guarantor and execute the promissory note and all the other necessary documents to the satisfaction of SRFCPL as stipulated in Clause-3 above in favor of SRFCPL.
- c. All authorizations, Resolutions as required under the existing laws have duly complied with.
- d. Non existence of any event of default by the Borrower;
- e. No extraordinary or other circumstances should have occurred which shall make it improbable for the Borrower and the Guarantor to fulfill its obligation under this agreement.
- f. The Borrower / Guarantor and /or such person as SRFCPL may require shall have executed such other documents or writings as SRFCPL may require and shall have performed such other actions and executed such other documentation as SRFCPL may require.

#### **Clause 7**

#### **REPRESENTATION OF THE BORROWER AND THE GUARANTOR**

1. The Borrower and the Guarantor represent that:- The Borrower and the Guarantor have adequate Legal capacity to enter into and this agreement. The Borrower and the Guarantor are not restricted in any manner or prevented in any manner under any law, statute , judgment decree, contract or otherwise from executing and undertaking the obligations in the manner provided in this Agreement and upon execution, this agreement shall be a valid legally binding commitment of the Borrower and the Guarantor enforceable against them in terms of this Agreement. The Borrower and the Guarantor (in case of being a company) are duly organized and existing under the laws of India with power to enter into this agreement to which he is or he shall be a party.
2. No encumbrance of nay nature or any lien exists over the asset hypothecated herein.
3. He/She has obtained and done all that is necessary to give full force and effect to all authorizations, approval, consents, licenses and permissions required in relation to his agreement, collateral documents and the hypothecated Asset and the Borrower has paid all taxes and statutory dues payable by him/her and has not received any demand, claim or notice from any person.
4. The Borrower shall ensure at all times during the subsistence/ existence of the agreement that the person who drives the vehicles (s) holds a valid driving license entitling him to drive the vehicle (s).
5. There are no suits, actions or claims pending or are likely to be filed or taken (whether civil or criminal or otherwise) against the Borrower of any nature whatsoever.

#### **Clause 8**

#### **CONVENANT/UNDERTAINGS OF THE BORROWER AND THE GUARANTOR**

1. The Borrower and the Guarantor shall.
  - a. Promptly notify any event or circumstances, which might operate as a cause of delay in the completion of this Agreement.



- b. Duly and punctually comply with all laws and Rules etc. and make payments of all charges levied or leviable in respect of the asset the borrower shall be solely responsible for use, operation, and maintenance of the Asset and any liability arising there from.
- c. Promptly inform SRFCPL of any loss or damage to the Asset which he/she may suffer due to any force majeure or act of God such as earthquake, flood, tempest, theft or typhoon, etc. or otherwise.
- d. Not sell, lease, transfer, create charge, hypothecated or create encumbrance of any nature whatsoever, or surrender or otherwise part with possession of the Asset, in any manner whatsoever without the consent in writing of SRFCPL. Any direct or indirect transfer of the Asset would be deemed to be a criminal breach of trust and a case of cheating, entitling SRFCPL to file/ pursue FIR/ or a criminal complaint against the Borrower. The said hypothecated Assets are in the custody of the Borrower in his capacity as a Bailee.
- e. Maintain the asset in good order and condition and will make all necessary repairs, additions and improvements thereto during the pendency of the Loan.
- f. Maintain sufficient balance in the account of the drawee bank for payment of NACH issued by him and honor the same on presentation.
- g. Shall continue to pay all public demands such as income Tax and all other taxes and revenues payable to the government of India or to the government of any State or to the local authority, and he hereby confirms that, at present, there are no arrears of such taxes and revenues due and outstanding.
- h. In case of Asset being a new vehicle, get the Asset registered with the appropriate authority under the Motor Vehicles Act, 1988 and shall get the charge of hypothecation on the vehicles (s), created/ or to be created, duly endorsed and recorded in the certificate of registration in favor of SRFCPL. In the event of the Asset being a used vehicle, the Borrower shall ensure that requisite endorsement is made on the RC book of the Vehicle(s) indicating hypothecation of such Asset(s) in favor of SRFCPL, Prior to disbursement of loan.
- i. Submit a copy of the registration certificate relevant to the Asset being a vehicle for which the loan has been taken after taking delivery of such vehicle(s).
- j. Not apply for any duplicate Registration book for the Asset, being a vehicle, otherwise than by obtaining prior consent thereof from SRFCPL for endorsing his charge on the vehicle (s).
- k. Inform SRFCPL, in writing, of any damage to or theft of the Asset, lodging of any claim with the insurance company in respect of the Asset, or of loss, destruction or misplacement of the Registration Book of the Asset or the insurance policy relating to the Asset, immediately upon such damage or lodging of claim. In such an event, SRFCPL may, without prejudice to his other rights under this agreement, in law or equity, require the Borrower to take such steps as may be necessary to protect the interests of SRFCPL.
- l. Pay all rates, assessments, taxes and other outgoing which may be assessed, imposed, or payable for the hypothecated Asset, by the Government, Municipal Corporation, Regional Transport Authority or any other Authority and, produce receipt for such payment. In the event, such amounts are paid by SRFCPL; the borrower shall reimburse all such amounts together with interest to SRFCPL.
- m. Not suffer or allow suffering any attachment or distress to the hypothecated Asset or any parts thereof or allowing anything that may prejudice or endanger the security herein without the express consent in writing of SRFCPL.
- n. Undertake to do such acts, deeds, assurances, matters and things as may be required by SFRC for further assuring and confirming the security created herein and the rights, powers and remedies hereby conferred and execute such document (s) at his own cost as may be required in this regard.

- o. Indemnify and agree to keep SRFCPL indemnified and hold harmless from and against all cost expenses, claims and action (including third party liability in case of accidents, damage or otherwise) and make good all payments including legal cost, fees and costs to take possession, insurance and selling of the Asset. The Borrower and /or the Guarantor shall also be liable for expenses incurred by SRFCPL along with interest thereon while pursuing any reedy under the Negotiable Instruments Act, Payment and settlement Systems Act, Criminal Procedure code and / or any other enactment at any other forum.
- p. Ensure that the Borrower and the Guarantor are fully acquainted with the Rules of SFRC, as informed from time to time.

8. The Borrower shall not give or pay to the Guarantor(s) or any other person who agrees to incur any obligation for the Borrower in favor of SRFCPL, any monies or other consideration or remuneration, whether by way of commission, brokerage or fee or in any other form whatsoever or howsoever for giving or confirming the personal guarantee of obligation.

## **Clause 9**

### **REVISION IN THE PRICE OF THE ASSET**

If the price of the Asset is revised upwards after the date of signing of the Agreement, then and in that event the Borrower shall be liable to pay the additional amount required for acquiring the asset(s) at such revise price and SRFCPL shall not be liable to pay any additional amount by way of loan or otherwise for such revision in price of the asset(s). In such, SRFCPL shall be at liberty to cancel this loan transition and also collect refund of the amount paid to the dealer/Manufacturer as booking price or otherwise from the dealer/manufactured, without prejudice to any other provisions of this Agreement.

## **Clause 10**

### **DELIVERY**

1. The Borrower shall be solely responsible for taking delivery of the Asset and documents relating to such Asset from the manufacturer or the dealer or any other person and for verifying fitness, quality condition etc. of the same. The Borrower shall intimate SRFCPL immediately upon taking delivery of the Asset.
2. It is agreed and understood by the Borrower and the Guarantor that SRFCPL shall not be liable for any delay in delivery from the manufacturer or the dealer or any other person, any demurrage, cost or the quality/s condition /fitness of the Assets. The Borrower absolves SRFCPL from any liability in respect of the above and the Borrower shall not withhold the payment of the stipulated installments on the pretext that the Asset has not been delivered or for any reason whatsoever.

## **Clause 11**

### **USE**

The Borrower undertakes not to use the Asset either by himself or through his servants or agents for any purpose not permitted by the terms and conditions of the insurances policy nor do or permit to be done any act or thing which might render the Insurance invalid, and in particular, not to use the Asset/vehicle for transport of goods, articles, etc., in contravention of any of the provisions of the Acts of Central and State Legislatures and not to engage it in any unlawful or illegal activity and the Borrower shall be responsible for

any damage or loss sustained by SRFCPL in respect of the Asset, as a result of such wrongful or unlawful use. The Borrower undertakes to use the Asset only for the use indicated by the Borrower to SRFCPL and as stated in this Agreement.

## **Clause 12**

### **INSURANCE AND MAINTENANCE**

1. In order to safeguard the security for the loan and to ensure that SRFCPL lien is marked on the insurance, the Borrower shall, immediately after signing this Agreement, keep the Asset insured against any loss or damage by accident or fire or other perils under a comprehensive Policy including the risks against strikes, riots, Civil Commotions, floods and such wider liability to which the Asset is normally exposed and unlimited third party liability risks with an insurance Company approved by IRDI and shall punctually pay all premia and other sums required for keeping the said insurance effective throughout the period of this Agreement and deliver any insurance policy, cover note or receipt to SRFCPL. Each insurance policy shall be in the name of the Borrower with the necessary endorsement in favor of SRFCPL as 'loss payee and additional endorsement in favor of SRFCPL bankers if so, required by SRFCPL.
2. The Borrower shall not use the Asset for any purpose not permitted by terms and conditions of the insurance policy and shall not do or permit to be done any act or thing, which might render the insurance invalid.
3. Notwithstanding the obligation of the Borrower to ensure the Assets, SRFCPL may at his sole discretion pay the insurance premium on behalf the Borrower, by being a facilitator and recover the same from the borrower. However, any nonpayment on the part of SRFCPL due to any reason will not affect the liability of the Borrower to pay the necessary insurance premium to the insurance company and to keep the asset insured.
4. The first claim on any insurance proceeds shall be that of SRFCPL. The borrower hereby irrevocably authorizes SRFCPL to claim insurance proceeds to safeguard the interest of SRFCPL and appropriate the proceeds thereof against the dues of SRFCPL. The Borrower will comply with all directions of SRFCPL with respect to insurance policy and its renewal as stipulated from time to time.
5. The Borrower shall at his cost and without undue delay; carry out repairs to the Asset occasioned by the accident or for any other reason and shall produce bills in respect of insurance claim to the insurance company for settlement. If there are no over dues against the Borrower, SRFCPL shall pass on to him such benefits as SRFCPL receives from the insurance company in respect of claim.

## **Clause 13**

### **EVENTS OF DEFAULT**

The following events shall constitute "Events of Defaults":-

1. The Borrower and Guarantor failing to repay the loan or any fee, charges in the manner herein contained and any one of the installments or any their amount due hereunder remains unpaid after the date on which it is due; or
2. The Borrower or the Guarantor (in case of being an individual) dies or takes any step(s) with a view to this being made insolvent in any jurisdiction or with a view to the appointment of a receiver, trustee or similar officer of any of his/her assets; or

3. If the Borrower and the Guarantor (in case of being a corporate body or a partnership firm) take any action or other steps are taken or legal proceedings are initiated by any third party against the Borrower / Guarantor for winding up, dissolution or reorganization or for the appointment of a receiver, trustee, resolution professional or similar officer of its assets, particularly on the hypothecated asset (s); or
4. If the Borrower and the Guarantor sell, encumber or transfer or seek to sell, transfer, create encumbrance on the hypothecated Asset in any manner whatsoever without the express consent in writing in writing of SRFCPL; or
5. The Borrower and the Guarantor fail to pay any insurance premium for the hypothecated Asset or the bank charges for dishonored NACH in accordance with the terms and conditions hereof; or
6. The hypothecated Asset being confiscated, attached, taken into custody by any authority or is subjected to any execution proceedings; or
7. The Borrower and the Guarantor failing to pay any tax, impost, duty or other imposition or to comply with any other formalities required to be completed in respect of the hypothecated Asset under law from time to time; or
8. The hypothecated Asset being stolen is untraceable for any reason whatsoever; or
9. The Asset(s) is detained, endangered or damaged in any manner or rendered unfit for use or bodily injury is caused to the third party by accident with the Asset; or
10. NACH delivered or to be delivered by the Borrower and / or the Guarantor to SRFCPL in terms and conditions hereof is not honored for any reason whatsoever on presentation; or
11. Any instruction being given by the Borrower and the Guarantor for stop payment of NACH given as per Clause 2.7, for any reason whatsoever; or
12. The Borrower failing to supply a copy of the registration certificate of the Asset being the vehicle with hypothecation endorsement in favor of SRFCPL; or
13. Any circumstance arises which gives reasonable grounds in the opinion of SRFCPL that it is likely to prejudice or endanger the hypothecated Asset or the interest of SRFCPL therein or under this Agreement; or
14. The Borrower and the Guarantor failing to file the particulars of the Asset as provided in the Agreement: or
15. The Borrower and the Guarantor committing breach of any of the terms, covenants, undertakings and conditions herein contained or any information given or representations made by the Borrower and the Guarantor to SRFCPL under this Agreement or any other document submitted by the Borrower and the Guarantor being found to be inaccurate or misleading; or
16. There exists any other circumstance, which in the sole opinion of SRFCPL, jeopardizes the SRFCPL interest.
17. The Borrower and the Guarantor being declared insolvent, bankrupt or (in case of company winding up or liquidation proceedings being filed against the Borrower and the Guarantor); or
18. If Borrower withheld any critical information in relation to loan sanctioned to the Borrower required by SRFCPL.
19. If the Borrower/Guarantor ceases or threatens to cease its business.

20. If the liabilities of Borrower exceed the Borrower's assets or that the Borrower is carrying on business at a loss.
21. The residential status of Borrower/Guarantor changes from resident to non- resident.
22. If the loan or any part thereof is utilized for any purpose other than the purpose for which it is applied by the Borrower and sanctioned by SRFCPL.
23. If subsequent to the grant of loan, the Borrower and /or the Guarantor/s (when spouse) is / are divorced or any proceeding is taken or commenced or initiated by any family court for the same or otherwise.
24. In the event of the happening of natural calamities/force majeure conditions, causing deterioration in value of Asset (judgment over SRFCPL shall have absolute discretion)
25. Upon happening of any substantial change in the constitution or management of the Borrower or organization of the Borrower without written consents of SRFCPL or upon the management of the Borrower ceasing to enjoy the confidence of SRFCPL.
26. If the Borrower/Guarantor is charged or convicted by any court of law or Government authority for any offence committed.
27. If the Borrower/Guarantor disputes any of the terms under this agreement or other agreement entered with SRFCPL or its affiliates.

#### **Clause 14**

##### **SRFCPL's RIGHT**

1. The borrower and guarantor agree that the rate of interest charged by SRFCPL for the said loan is fixed. This interest rate is not subject to any change. It is agreed and understood by the borrower and guarantor that the borrower and guarantor that the other terms and conditions of this loan agreement is/ are liable to change/s as and when it is deemed appropriate by SRFCPL. SRFCPL shall in case of any such change/s, would implement is prospectively only after due notice to the borrower and guarantor in writing in vernacular language.
2. Upon occurrence of any/all of the aforesaid events of default, the Borrower and the Guarantor shall be liable to pay the following to SRFCPL within 15 days from the date of receipt of notice from SRFCPL.
  - a. Arrear of installments;
  - b. Principle outstanding of the installments for the remaining period of the agreement;
  - c. Delayed payment interest at the rate specified in Schedule-II of this Agreement on the principal outstanding and on the other amount due;
  - d. All other sums and charges of whatsoever nature, including, but not limited to interest on account of default in payment of insurance premia, and on account of other taxes.
3. In case of the Borrower alienating or secreting or concealing or keeping the Asset beyond the reach of SRFCPL or the Borrower using the Asset for unlawful purposes or the borrower subjecting the Asset to abnormal wear and tear and/or alienating such other Assets of the Borrower which provide additional cover to SRFCPL for recovery of the amount due under the agreement, SRFCPL shall be entitled to take such steps including taking possession of the hypothecated Asset and invoking of the Guarantee without any notice to the borrower.

4. In the event of failure of the Borrower in complying with the demand, the borrower shall be bound to surrender the asset to SRFCPL at the cost of the Borrower at such location, as SRFCPL may designate, in the same condition in which it was when the loan was granted, ordinary wear and tear excepted, failing which, SRFCPL shall be entitled to possess the Asset wherever it is, without any further notice. The Borrower shall not prevent or obstruct SRFCPL from taking possession of the Asset. For this purpose, SRFCPL's further notice. Authorized representatives, employees and agent will have unrestricted right of entry and shall be entitled to enter upon the premises, or garage, or Godown, where the Asset shall be lying or kept, and to possess the Asset. In the event of the Borrower not cooperating, SRFCPL, if necessary, has the right to break open any such place where the Asset is believed to be kept and to possess the Asset. SRFCPL will be well within his rights to use tow-van or any carrier to carry away the Asset. The Borrower shall be liable to pay any towing charges and any other expenses incurred by SRFCPL in connection with the taking possession of the Asset and for its sale etc.

5. After taking possession of the asset by SRFCPL or surrender by the Borrower, SRFCPL's authorized representatives, employees, officers and agents will prepare an inventory of the Asset. SRFCPL will send a notice, after taking possession or surrender the asset by the borrower granting the Borrower 10 days' time to settle the contract and to take back the vehicle. The Borrower shall, in the event of failing to settle the contract within the time limit mentioned above, deliver all original documents relating to the Asset, including the RC book, Tax token permit and insurance certificate/ policy etc.; in the case Asset being vehicle, if the said documents were not available in the vehicle at the time of taking possession or surrender and shall render all assistance including execution of necessary documents for transfer of the asset in favor of SRFCPL or his nominees or has agents or the purchaser of the asset identified by SRFCPL if however, the Borrower fails to render necessary assistance for transfer of the Asset, SRFCPL shall be entitled to take all such steps unilaterally as may be necessary to facilitate early sale of the Asset.

6. Neither SRFCPL, nor his agent, officer, nominees shall be in any way responsible and liable and the Borrower hereby agrees not to make SRFCPL or his officers, agents or nominees liable for any loss, damage, limitation, or otherwise for any belongings and Clause that might be kept or lying in the hypothecated Asset at the time of taking charge and/or possession of the hypothecated Asset.

7. The Borrower and/or the Guarantor shall pay the costs of taking possession / surrender including garage rent etc. the borrower shall acknowledge delivery of the Asset together with the documents if the Borrower repays the amount due to SRFCPL in full to the satisfaction of SRFCPL and SRFCPL agrees to return the asset to the borrower. SRFCPL may, at its sole discretion, also agree to release the Asset on part payment of the dues on such undertaking/ conditions which SRFCPL may prescribe after obtaining delivery receipts addressed to SRFCPL which is an acknowledgment that the Borrower has taken delivery of the Asset in the same condition in which it was possessed/ surrendered together with the document. The Borrower and the Guarantor shall not raise any dispute nor make any claim regarding taking possession of the asset or condition of the Asset or any documents and clause kept in the Asset at the time of possession / surrender of the Asset.

8. SRFCPL shall, in any / all the aforesaid events of default, be entitled to and the Borrower and the Guarantor hereby irrevocably authorize SRFCPL to sell / transfer / assign the Asset either by public auction or by private treaty or otherwise and appropriate the proceeds thereof towards repayment of all the outstanding amounts from the Borrower to SRFCPL under this agreement.

9. If the proceeds are not sufficient to meet all the dues of SRFCPL, the Borrower and the Guarantor shall be liable to pay for any deficiencies after the said appropriation. In case there is any surplus after adjusting the dues of SRFCPL, the same shall be refunded to the borrower. Noting contained in this clause shall oblige SRFCPL to take possession or sell the asset and SRFCPL shall be entitled to proceed against the borrower or Guarantor(s), independently of such security, particularly when SRFCPL is deprived of taking possession the Asset for any reason whatsoever.

10. The Borrower and the Guarantor shall not be entitled to raise any objection regarding the regularity of the sale and/or actions taken by SRFCPL for shall SRFCPL be liable/ responsible for any loss that may be occasioned from the exercise of such power and/ or may arise from any act or default on the part of any broker or auctioneer or other person or body engaged by SRFCPL for the said purpose.

11. SRFCPL shall be entitled to recover from the Borrower and the Guarantor all expenses (including legal costs on full indemnity basis) incurred by or on behalf of SRFCPL in ascertaining the whereabouts of the Asset, taking possession, garaging, insuring, transporting and selling the Asset and of any legal proceedings that may be filed by or on behalf of SRFCPL to enforce the provisions of the agreement. It is expressly clarified that the remedies referred to hereinabove shall be in addition to and without prejudice to any other remedy available to SRFCPL either under this agreement, or under any other agreement / undertaking, or in law or equity.

12. The Borrower and Guarantor shall indemnify and deep indemnified SRFCPL against all actions, suits, proceeding and all costs, charges, insurance premium, expenses, losses damages which may be occurred or suffered by SRFCPL by reason, if false or misleading information given by the Borrower and/or Guarantor of any terms, condition, agreement and provision hereunder. The Borrower hereby accepts and acknowledges have clearly agreeing and understanding that this indemnity would cover all acts and omissions on the part of the warranties of the Borrower. SRFCPL shall be entitled to include any amount payable by the Borrower under this clause in the said dues being the subject matter of this Agreement.

13. Notwithstanding anything to the contrary contained in the Indian contract Act, SRFCPL or its officers, agents or nominees shall not be in any way responsible for any loss, damage, limitation, or depreciation that the hypothecated Asset may suffer or sustain on any account whatsoever whilst the same is in the possession of SRFCPL or its officers, agents or nominees or because of exercise or non-exercise of the rights, powers, or remedies available to SRFCPL or its officers, agents or nominees and all such loss , damages or depreciation shall be debited to the account of the borrower and the guarantor howsoever the same may have been caused.

14. The Borrower and Guarantor expressly recognize and accept that SRFCPL shall without prejudice to its right to perform such activities himself or through its officers or servants or employees, be absolutely entitled and shall have full powers and authority to appoint one or more third party of SRFCPL under this agreement including other rights to send notice, demand, visiting the residence/office / business place of the Borrower and Guarantor, take possession of assets hypothecated or contacting the Borrower and Guarantor to collect the amount outstanding for the purpose aforesaid as for any other purpose at the sole discretion of SRFCPL shall be entitled to disclose to the third party the details of the Borrower and/or the Guarantor (s), the loan, the outstanding amount and other information for effectively discharging the work assigned to the third party and the Borrower and the guarantor(s) hereby consents to such discloser by SRFCPL.

15. SRFCPL that in case the borrower defaults in the repayment of such loan or in the payment of interest thereon or any one of the agreed repayment/installment of loan on due date, SRFCPL and/or Reserve Bank of India shall have a unqualified right to disclose or publish with or without photograph, the Borrower name or its organization / entity / company's name and or name of its directors/ partner/ as defaulter/s, in such manner and through such media as SRFCPL or Reserve Bank of India in its absolute discretion may think fit.

16. The Borrower and/or Guarantor hereby agrees and gives consent for discloser by SRFCPL all or such information and data relating to Borrower and Guarantor, credit facility / loan availed, default committed to Credit information Bureau and/or any other agency. The Credit information Bureau and / or any other agency may furnish such details regarding borrower and guarantor as may be prescribed by Reserve Bank of India.

## **Clause 15**

## **GUARANTEE**

The Guarantor(s) hereby agrees to the following:-

1. The Guarantor shall be liable for all amounts payable by the borrower to SRFCPL under this agreement, including all costs and expenses therein and the liability of the Guarantor shall be co- extensive with that of the Borrower;
2. The liability of the Guarantor(s) under this Agreement shall in no manner be affected by any variation acts or forbearance or by reason of time extended to the borrower, or of any other forbearance act or omission on the part of the security or by any other matters or things whatsoever which under the law relating to sureties would but for this provision have the effect of so releasing the guarantor(s)
3. Any variance made without the Guarantor consent, in the terms of this Agreement, shall not discharge the Guarantor(s) from his/ its obligation under this agreement or as to terms subsequent to such variance.
4. The Guarantor(s) shall not be discharged by any contract between SRFCPL and the Borrower, by which the Borrower is released, or by any act or omission of SRFCPL, the legal consequence of which is the discharge of the borrower.
5. Any contract between SRFCPL and the borrower, without the consent of the Guarantor(s), by which SRFCPL makes a composition with, or promises to give time, or not to sue, the Borrower, shall not discharge the Guarantor(s).
6. The Guarantor hereby agrees and declare that the Borrower will be free to avail of further loan(s) or other facilities from SRFCPL in addition to the facilities and /or to secure the same during the subsistence of the guarantee and in that event the guarantee herein contained will not be affected to vitiated in anyway whatsoever but will remain in full force and effect and binding on the Guarantor.

#### **Clause 16**

#### **PREPAYMENT**

If the Borrower desires to prepay the Loan earlier than as indicated in the Loan sanction letter/second Schedule, foreclosure / prepayment charges shall be payable by the Borrower on the balance outstanding on the date of such foreclosure/ prepayment in addition to the loan, as may be decided by SRFCPL from time to time. The prepayment shall take effect only when cash has been paid in or cheques have been cleared.

#### **Clause 17**

#### **SECURITISATION**

The Borrower and the Guarantor expressly recognizes and accepts that SRFCPL be absolutely entitled and has full power and authority to sell, assign or transfer in any manner, in whole or in part, and in such manner and on such terms as SRFCPL may decide, including reserving a right to SRFCPL to retain his power hereunder to proceed against the Borrower and the Guarantor on behalf of the purchaser, assignee or transferee, any or all outstanding and dues of the Borrower and the Guarantor to any third party of SRFCPL's choice without reference to or; without written intimation to the Borrower and the Guarantor. Any action and any such sale, assignment or transfer shall bind the Borrower and the guarantor to accept such third party as creditor as exclusively or as a joint creditor with SRFCPL, or as creditor with the right to SRFCPL to continue to exercise all powers hereunder on behalf of such third party and to pay over such outstanding and dues to such third party and or to SRFCPL as SRFCPL may direct the Borrower and the Guarantor acknowledges and undertakes to pay to third parties the difference between the loan amount outstanding and



the amount received by SRFCPL in the event of transfer of the portfolio to a third party. The third party shall have authority to collect the due amounts from the Borrower(s) and the Guarantor(s).

## **Clause 18**

### **SRFCPL'S RIGHT TO APPOINT AGENCY**

The Borrower and the Guarantor expressly recognizes and accepts that SRFCPL shall, without prejudice its to perform such activities himself or through its officers or servants, be absolutely entitled and shall have full powers and authority to appoint one or more third parties of SRFCPL's choice and to transfer and delegate to such third parties the right and authority to collect on behalf of SRFCPL the installment / interest other charges due to SRFCPL under this Agreement and to perform and execute all act, deeds, matters and things connected therewith or incidental thereto including sending notices of demand, visiting the amount due.

## **Clause 19**

### **SET-OFF AND LIEN**

1. Notwithstanding anything contained in this agreement, SRFCPL shall have a lien over all the Assets of the Borrower(s) and the Guarantor in SRFCPL's possession and control and a right of set off against any monies due to SRFCPL from the Borrower / and the Guarantor and to combine all accounts of the Borrower(s) for recovery of SRFCPL's dues hereunder.

2. The Borrower and the Guarantor agree to the right of SRFCPL to retain and hold all the securities till repayment of the entire dues or till realization of outstanding amount of loans subject to any legitimate right, claim or lien or any other claim SRFCPL may have against the borrower and the Guarantor. SRFCPL shall be entitled to retain the securities till all the claims are settled / paid subject to the notice sent to the Borrower and the Guarantor with particulars about the remaining claims.

3. It is hereby agreed and understood by the Borrower and the Guarantor that, in the event of Borrower(s) and the Guarantor defaulting in payment of the installments / charges / fees, without prejudice to the right of termination, SRFCPL shall have the right to set-off the amount in the Borrower's and the Guarantor account that it may be holding with SRFCPL with the amount in

respect of which the default has been committed under this agreement.

## **Clause 20**

### **NOTICES**

1. A certificate / notice in writing signed by officer of SRFCPL stating the amount at any particular time due shall be conclusive evidence both against the Borrower and Guarantor(s)

2. Any change in address of the Borrower and the Guarantor shall be SRFCPL in writing one week. Any notice, letter and other documents shall be sent to the address as stated in this agreement, or the address notified by the Borrower and the Guarantor by registered post with acknowledgment due or by post or by courier or by any other means of transmission of documents like fax message or electronic mail service. The notice, letter, other documents sent by registered post with acknowledgement due or by post shall be deemed to have been received by the addresses 48 hours it has been dispatched.

3. In all correspondent, that loan Agreement number/ vehicle number should be quoted.

4. All correspondence shall be addressed to SRFCPL mentioned in the description of parties appearing in the preamble to this Agreement.

### **Clause 21**

#### **PARTIAL INVALIDITY**

If any provision of this Agreement or the application thereof to any person or circumstance shall be invalid or unenforceable to any extent for any reason including by reason of any law or regulation or government policy, the remainder of this Agreement and the application of such provision to persons or circumstances other than those as to which it is held invalid or unenforceable shall not be affected thereby, and each provision, and each provision of this Agreement shall be valid and enforceable to the fullest extent permitted by law. Any invalid or unenforceable provision of this Agreement shall be replaced with a provision, which is valid and enforceable and most nearly reflects the original intent of the unenforceable provision, in a mutually agreeable manner.

### **Clause 22**

#### **LAW, JURISDICTION, ARBITRATION**

a. All disputes, differences, and / or claim arising out of or in connection with this agreement whether during its subsistence or thereafter shall be settled by arbitration in accordance with the provision of the Arbitration and conciliation Act. 1996, or any statutory amendments thereof and shall be referred to the sole arbitrator nominated by SRFCPL. The award given by such an arbitrator shall be final and binding on the parties to this Agreement. In the event of incapacity or resignation or death of sole arbitrator so appointed, SRFCPL shall be entitled to appoint another arbitrator in place of the earlier arbitrator, and the proceedings shall continue from the stage at which the predecessor had left. Such a person shall be entitled to proceed with the reference from the stage at which it was left his predecessor.

b. The venue of arbitration proceeding shall be at . The language of arbitration shall be English.

c. The arbitrator so appointed herein above, shall also be entitled to pass an Award on the hypothecated asset and also on any other securities furnished by or on behalf of the Borrower.

### **Clause 23**

#### **ENTIRE AGREEMENT**

The Agreement (including the Schedule-I and Schedule-II) along with the documents executed or to be executed by the Borrower and the guarantor in favor of SRFCPL pursuant to this Agreement shall constitute the entire agreement between the Parties hereto with respect to its subject matter.

### **Clause 24**

#### **DISCLOSURE BY SRFCPL**

It is acknowledged by the Borrower and the Guarantor that SRFCPL shall be entitled to make such enquiries about the Borrower and the Guarantor by themselves or through their authorized person and also to disclose the information pertaining to the Borrower and the guarantor to any credit bureau, or other person as SRFCPL may deem fit, and the Borrower and the Guarantor hereby agree and undertake not to dispute or question the same in any manner whatsoever. The Borrower and the Guarantor unconditionally agree and acknowledge that, in case of any default in the repayment of the principal amount or interest or any other dues on the due date, SRFCPL/RBI/CIBIL and other credit bureaus shall have the right to disclose details of the default and/or other information and the name of the borrower and guarantor as defaulter.

## **Clause 25**

### **TERM AND TERMINATION**

This Agreement shall come into effect from the date of this Agreement and shall terminate only upon the Borrower making full repayment to SRFCPL of the loan/s, interest thereon and all other charges and the dues payable by the Borrower and the Guarantor, to SRFCPL under this Agreement.

## **Clause 26**

### **MISCELLANEOUS**

#### **1. Letters -:**

Any letter or statement exchanged between the parties herein with reference to this agreement shall be treated as part and parcel of this agreement.

#### **2. Amendments -:**

No modification or amendments or alteration or rescheduling of the installment as provide under Clause 2(2.8) herein and no waiver of any of the terms or conditions hereof shall be valid or binding unless made in writing and duly executed by SRFCPL and the Borrower or as specifically provided herein.

#### **3. Cumulative Rights -:**

All remedies of SRFCPL under this Agreement whether provided herein or conferred by statute, civil law, common law, custom, and trade are cumulative and not alternative and may be enforced successively or concurrently.

#### **4. Benefit of the loan Agreement -:**

The Loan Agreement shall be binding upon and inure to the benefit of each party thereto and its successors or heirs, administrators, as the case may be.

#### **5. Agreements Right -:**

Any delay in exercising or omission to exercise any right, power or remedy accruing to SRFCPL under this agreement or any other agreement or document shall impair any such right, power or remedy and shall not be construed to be a waiver thereof or any acquiescence in any default, nor shall the action or inaction of

SRFCPL in respect of any default or any acquiescence in any default, affect or impair any right, power or remedy of SRFCPL in respect of any other default.

## **6. Liability :-**

The Borrower's and the Guarantor's liability under this Agreement shall be joint and several.

### **Clause 27**

#### **ACCEPTANCE**

The Borrower and the Guarantor hereby confirm that the contents of the loan Agreement together with all schedules attached hereto/ and other documents including the loan sanction letter etc. as:

1. The same have been explained to them in the vernacular language before signing this loan Agreement, in particular the annualized rate of interest of the loan, delayed payment interest, appropriation of payments etc.
2. They also acknowledge receipt of the Loan sanction letter from SRFCPL.
3. They agree that this loan agreement is legally binding on them.
4. They acknowledge and confirm that simultaneously they have also received the Loan agreement in vernacular language IN WITNESS THERE OF the parties have hereunto set and subscribed their respective hands and seal on the date, month and year first herein above written.

In the event of electronic execution of this loan agreement, both parties acknowledge and agree that the provisions of the Information Technology Act, 2000, along with any amendments made therein, shall apply to determine the validity, enforceability, and interpretation of this agreement, including all aspects related to electronic transactions, communication, and documentation."

#### **DESCRIPTION OF CREDIT FACILITIES**

Loan of Rs. 200000 (In Words) Disbursed in favor of Manufacturer / Dealer / Seller / Borrower as per the instruction of the Borrower, repayable here in monthly installment as mentioned in Schedule-II secured by hypothecation of the Assets as mentioned herein.

| S.No. | Asset       | Registration No. | Engine No.   | Chassis No.       | Other. |
|-------|-------------|------------------|--------------|-------------------|--------|
| 1     | Two Wheeler | MP36ZA9597       | DK2EN1001250 | MD625CK27N1E21799 |        |
| 2     |             |                  |              |                   |        |
| 3     |             |                  |              |                   |        |
| 4     |             |                  |              |                   |        |
| 5     |             |                  |              |                   |        |

Classification as Special Mention Account (SMA) and Non – Performing Asset (NPA)

Please note that an account in default (including arrears of interest, principal and any other amount due is not paid in full) as seen on the respective due date, is specified as overdue loan account and shall be classified as SMA (Special Mention Account) or NPA (Non-performing Asset) as per RBI regulations as notified vide

circular dated November 12,2021.

**Illustration:**

If the installment due date of a loan account falls on April 05, 202X, May05, 202X, July05,202X, and soon, then the SMA/NPA classification for the respective due amount will be done upon running day end processes. The indicative SMA/NPA classification of the amount falling due on April 05, 202X shall be as follows:

| Respective Due Date | Payment Status                                                                               | Days Overdue                        | Upon Running Day end process on | SMA/NPA Classification on |
|---------------------|----------------------------------------------------------------------------------------------|-------------------------------------|---------------------------------|---------------------------|
| April, 05, 202X     | Amount due on 05-Apr-202X not paid in full                                                   | Upto 30 days                        | April 05, 202X                  | SMA-0                     |
|                     | Amount due on 05-Apr-202x still not paid in full and the subsequent due amount also not paid | More than 30 days and up to 60 days | May 05, 202X                    | SMA-1                     |
|                     | Amount due on 05-Apr-202x still not paid in full and the subsequent due amount also not paid | More than 30 days and up to 90 days | June 04, 202X                   | SMA-2                     |
|                     | Amount due on 05-Apr-202x still not paid in full and the subsequent due amount also not paid | More than 90 days                   | July 04, 202X                   | NPA#                      |

# Upgradation of Accounts classified as NPA ( In accordance with the guidelines issued by the Reserve Bank of India):

An account classified as NPA can be upgraded as Standard only if the entire arrears of interest, principal and any other amount due are paid in full and there is NIL arrears upon running day end process of that calendar date.

**ACKNOWLEDGEMENT OF LIABILITY AND UNDERTAKING FOR END USER**

From :

Date :

To :

SRFCPL :

Sub.: Loan for class="text-left"Rs.200000 ( Rupees only) availed by me/us on (Date) Ref; Loan No ; Vehicle No CG04dk3253; I hereby undertake the above referred loan was availed by me/us for business and working capital requirements against vehicle from the date of this agreement and the vehicle is being used for business purposes and will continue to be utilized until the loan matures. I/We hereby acknowledge that my/our liability towards settlement of the said loan is Rs. 200000 (Rupees) under the said agreement. I/We undertake to settle the loan account on or before. If the fund is not utilized for said purpose, the company has rights to take legal action against me.

## **LETTER OF GUARANTEE**

This Guarantee made at 08/02/2024 14:23 this day of s given by test lal. CURRENT ADDRESS GUARANTOR CURRENT CITY GUARANTOR CURRENT STATE GUARANTOR CURRENT CO 457226 (thereinafter referred to as the "Guarantors(s)" which express shall, unless repugnant to the context or meaning thereof, mean and include his/her heirs, representatives in interest, executors, administrators, successors and permitted assigns) in favor of Shri Ram Finance Corporation Private Limited, a Non-banking Finance Company incorporated under Companies Act, 1956 having its registered office at Raipur Road Baloda Bazar, Distt. Baloda Bazar, Raipur, Chhattisgarh, India, 493332. ( hereinafter referred to as "SRFCPL" which expression shall unless repugnant to the context or, meaning thereof, mean and include the successors and assigns).

AND WHEREAS the Guarantor(s) has/have requested SFRC to extend hypothecation Loan facility to Mr. TEST LEGALITY. PERMANENT ADDRESS BO PERMANENT CITY BO PERMANANET CITY BO PERMANENT 481880 ( hereinafter referred to as the Borrower(s) and has/have undertaken to guarantee the due performance and observance by the Borrower (s) of all the terms and conditions of the loan cum Hypothecation Agreement).

AND WHEREAS relying upon the undertaking and assurances provided by the Guarantor hereunder and the undertakings and assurance provided by the Borrower, SRFCPL has under and pursuant to the Loan cum Hypothecation Agreement dated 08/02/2024 14:23 against Vehicle / Machinery / Equipment No. CG04dk3253 entered into between the Borrower and SRFCPL agreed to extend Hypothecation loan facility to the Borrower in respect of the asset more fully described under the Loan cum Hypothecation Agreement upon the terms and conditions mentioned therein and this Guarantee.

### **Guarantor/s**

### **NOW THIS GUARANTEE WITNESSETH AS FOLLOWS:**

1. In consideration of SRFCPL agreeing to extend hypothecation loan facility to the Borrower, the Guarantor hereby unconditionally and irrevocably guarantees:

- i. The payment and discharge by the Borrower of the Borrower's liabilities under the loan cum Hypothecation Agreement to SRFCPL as per the terms provided therein.
- ii. Upon the happening of any of the events of default as contemplated under the Loan cum Hypothecation Agreement, the immediate payment of the amounts payable under the Loan cum Hypothecation Agreement and discharge by the Borrower of his liabilities, obligations, without any demur or protest or objection of any nature whatsoever.
- iii. The due performance of all the terms and conditions provided under the said loan cum Hypothecation Agreement by the Borrower.

2. The Guarantor hereby expressly agrees that he shall not require any proof in addition to the written demand by SRFCPL, made in any format, raised at the above-mentioned address of the Guarantor indicating the happening of an event of default due to which the Guarantee has been invoked. A demand in writing signed by SRFCPL or his representative stating the amount due, at any particular time shall be conclusive

evidence against the Guarantor.

3. The Guarantor shall make payment of first demand by SRFCPL without restrictions or conditions and notwithstanding any objections by the Borrower or any other person. The guarantor shall not require SRFCPL to justify invocation of this Guarantee and the Guarantor shall not have any recourse against SRFCPL in respect of any payments made under this guarantee.

a. The Guarantor hereby expressly agrees that this Guarantee is a continuing guarantee till all the liabilities of the Borrower under the Loan cum Hypothecation Agreement and that of the Guarantor herein are fully met. The liability of the Guarantor is joint and several along with the liability of the Borrower.

b. The Guarantor hereby agree and declare that the Borrower will be free to avail of further loan(s) or other facilities from SRFCPL in addition to the facilities and/or to secure the same during the subsistence of this Guarantee and in that event the guarantee herein contained will not be affected or vitiated in any way whatsoever but will remain in full force and effect and binding on the guarantor.

4. The Guarantor expressly agrees that since his liability is co-extensive with that of the Borrower, for the purposes of effectiveness of this Guarantee, the Guarantor(s) is /are to be considered as principal debtor(s) to SRFCPL for all dues payable under the provisions of this Guarantee.

5. The Guarantor hereby expressly agrees that he shall not be exonerated from his liability to SRFCPL under this Guarantee under any circumstances including without limitation, the following:

a. By any variance made without their consent in the terms of this contract or the Loan cum Hypothecation agreement or transaction between SRFCPL and the Borrower,

b. by any contract made between SRFCPL and the Borrower by which the Borrower be released, or

c. by any act or omission of SRFCPL the legal consequences of which may be a discharge of the Borrower by SRFCPL making a compromise with, or promising to give time to or not to sue the Borrower or

d. by SRFCPL losing his property.

6. The Guarantor acknowledges that the Guarantor's obligation to pay arises immediately after dispatch of written notice by SRFCPL Guarantor irrespective of whether the Borrower has been called upon or proceeded against.

7. The Guarantor thereby agrees to keep SRFCPL fully indemnified against all damages, losses, costs, charges and expenses (including Attorney's fees) arising from or under or in connection with any failure of the Borrower to fulfill any of his obligations under the Loan cum Hypothecation agreement.

8. Guarantor hereby acknowledges and agrees that SRFCPL shall be entitled to invoke this Guarantee, whether SRFCPL enforces his right against the subject matter of Loan cum Hypothecation Agreement or not or takes any proceeding (legal or otherwise) against the Guarantor prior to, simultaneously or subsequent to any proceeding (legal or otherwise) filed against the Borrower or any other person or entity.

9. This Guarantee shall be interpreted in accordance with the laws of India.

10. It is acknowledged by the Guarantor that SRFCPL shall be entitled to disclose any and all the information provided by them to SRFCPL to any credit bureau or any other person as SRFCPL may deem fit and the Guarantor hereby agrees and undertakes not to dispute or question the same in any manner whatsoever. The Guarantor unconditionally agrees and acknowledges that in case of any default in the payment by the Guarantor under this guarantee, SRFCPL / RBI/ CIBIL shall have the right to disclose details of the default and /or other information and the name the Guarantor as defaulter.

11. The Guarantor(s) agree/s that the arbitration clause provide under the Loan cum Hypothecation Agreement binds the guarantor(s) and the guarantor(s) is /are also bound by the award passed by the arbitrator.

12. Any acknowledgement of debt by the Borrower also binds the guarantor as if such acknowledgment is given by the guarantor.

13. In the event of failure by the Guarantor by the Guarantor to make payment as stated above, the guarantor shall pay default/delayed payment interest at the same rates as specified in relation to the Loan cum Hypothecation Agreement for Borrower till receipt of the aforesaid amounts by SRFCPL to his satisfaction.

14. This Guarantee shall come into effect from the date mentioned herein above and shall terminate only upon the Borrower and /or the Guarantor making full repayment to SRFCPL of the amounts payable under the Loan cum Hypothecation Agreement.

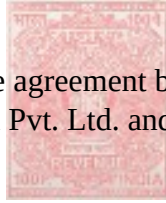
15. This Guarantee is not personal to SRFCPL and may be assigned by SRFCPL in whole or in part to any person (whether absolutely or a security) by SRFCPL, without prior consent of or intimation to the Guarantor.

16. All words and expressions used in this Guarantee but not defined herein, shall have the meanings ascribed to the them under the Loan cum Hypothecation Agreement.

**IN WITNESS WHEREOF THE GUARANTOR(S) HAS/HAVE SET AND SUBSCRBED HIS/THEIR HANDS TO THESE PRESENTS THE DAY, MONTH AND YEAR HEREIN WRITTEN.**



This stamp paper forms an integral part of the agreement bearing unique ID No. 24-3997035, executed between Shri Ram Finance Corporation Pvt. Ltd. and the Borrower/Co-Borrower/Guarantor.



## DEMAND PROMISSORY NOTE

Date : 21-09-2024 10:57 AM

On Demand I/We jointly and severally and Unconditionally Promise to pay to Shri Ram Finance Corporation Private Limited a Non-banking Finance Company incorporated under Companies Act, 1956 having its registered office at Raipur Road Baloda Bazar, Distt. Baloda Bazar, Raipur, Chhattisgarh, India, 493332. Order the sum of Rupees with flat rate of interest 19.5 % (Non Reducing) That Is 34.28 % IRR Effective Rate or at any rate which M/s. Shri Ram Finance Corporation Private Limited, may fix from time to time, with monthly rests for value received. Presentment for payment and nothing and protest of the note are hereby unconditionally and irrevocably waived.

Rs.

Shri Ram Finance Corporation Private Limited

Corporate Office : Shankar Nagar Raipur Chhattisgarh 492001

CIN-U60232CT2004PTC016590

**Sanction Letter**

Date : 21-09-2024 10:57 AM

To,

Mr. Kuldeep Niranjana

Residence Address :- , MATWANA, TIKAMGARH, MADHYA PRADESH, 472331

Dear Sir/ Madam, Sub: With reference to your application for loan dated 09/25/2023 10:54 With reference to your request for loan of Rs. 3 we are pleased to inform you that our Competent Authority has sanctioned loan as detailed here under subject to periodical review at the Companys discretion as and when required.

(In Rs.)

| Nature of Loan | Existing loan,if any | IRR   | Sanctioned loan | Tenure (Months) |
|----------------|----------------------|-------|-----------------|-----------------|
| Term Loan      |                      | 34.28 | 45000           | 18              |

A. Penal Charge/Month - 6% monthly rate charge on daily bases.

B. Nach Cheque Bounce Charges - Rs 400 Plus GST @18%

C. Recovery Charges - Rs 500 Plus GST @18%

D. Insurance Amount - Rs. 100

E. Annualize IRR - 34.28 %

F. Loan Protector - Rs. 600

G. Telephonic Charges - Rs.50 Plus GST@18%

H. Insurance Moratorium Interest - Rs. 0

I. Closure Charges:- FOR Auto Loan /SWC

(A.)If pre-closure of loan on or before 6 Months -(3 to 4 Months extra interest to be charge).

(B.)If pre-closure of loan after 6 Months-(2 Month Extra interest).

J. Moratorium Interest :- As per calculation on, First EMI day and disbursement days GAP, (Loanamount \* ROI/DAY\* gap days)

Guarantee : Above loan will be personally guaranteed by -

Guarantor:-

| Name of Guarantor | Address & contact details : |
|-------------------|-----------------------------|
|                   |                             |

Repayment of Term Loan :

Above loan will be repaid in monthly installments commencing as mention in IRR: 1st EMI of Rs. 2921 Will Be Deducted Starting From

Other Terms and Conditions governing the loan against stock/property as mentioned above are detailed as follows:

Terms & conditions:

1. Interest will be charged at Flat 19.5 % With IRR 34.28 % Non Reducing
2. Installments should be paid on time otherwise penal charges will be levied.
3. Pre closer charges as applicable.
4. All other charges are applicable as mutually agreed upon.
5. Advances should not be used for purpose other than which it is sanctioned.
6. All the documents should be properly executed and stamped.
7. On default in repayment of loan installments, Company has a right to recover its dues by initiating legal action including disposing off property mortgaged independently or stock under any other arrangement Company enters with other Financial Institutions / Recovery Agencies.
8. Arbitration clause as below is applicable in case of any dispute arises between the borrower (s)/ guarantor(s) and Company.
9. Any other terms and condition the company can add from time to time as per its guidelines.

ARBITRATION CLAUSE : The Borrower and Guarantor agree and confirm that :-

1. All disputes, difference and rights or claims arising out of this agreement whether during its subsistence or thereafter shall be settled by arbitration with the provisions of the Arbitration and Conciliation Act, 1996 or any statutory amendments thereof and shall be referred to the sole arbitrator nominated and appointed by “Shri Ram Finance Corporation Private Limited”. The award given by such an arbitrator shall be final and binding on all parties to this agreement.
2. In the event of such an arbitrator to whom the matter has been so referred, dying or becoming incapacitated due to health problems both mental and or physical or does not pass the award within the reasonable period, “Shri Ram Finance Corporation Private Limited” shall appoint a new person to act as an arbitrator. Such person shall be entitled to proceed with the reference from the stage at which it was left by his/her predecessor.
3. The venue of arbitration proceedings shall be Raipur and the language of arbitration proceedings shall be in English/Hindi language. This sanction advice is Sanction letter is digitally signed and taken as acceptance of terms & conditions of aforesaid loan

All terms & Conditions accepted:

Borrower Name : Mr. Kuldeep Niranjana

Guarantor Name :

Other terms & conditions :

|   |                                                                                                                                                                                                                                                                                                                                        |
|---|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1 | If the borrower does not start drawing down sanctioned funds from Term Loan within seven days from sanction date of communication of sanction, then Company shall have the right to take any action including cancellation of Term Loan and recovery of charges of processing and other charges at the sole discretion of the Company. |
| 2 | The borrower should submit confirmation for end use of funds within seven days from the date of disbursement of loan.                                                                                                                                                                                                                  |
| 3 | The borrower shall fulfill standard covenants as per below. In case of need necessary amendment/addition/deletion in the standard covenants may be permitted by the company                                                                                                                                                            |
| 4 | Borrower to arrange for periodical Inspection of the unit at regular intervals as per extant guidelines of our company                                                                                                                                                                                                                 |
| 5 | All inspection /audit charges, documentation/ legal charges etc. in connection with the credit facility to be borne by the borrower                                                                                                                                                                                                    |
| 6 | The borrower should display a board in a prominent place of business premises indicating that the assets/stocks are hypothecated to Shri Ram Finance Corporation Private Limited.                                                                                                                                                      |
| 7 | Borrower(s)and/or Guarantor(s) should give their consent for disclosure of credit information to CIBIL/RBI in terms of directions issued by RBI or any other regulators from time to time.                                                                                                                                             |

## **CKYC Download Consent Form**

Basis the Master Direction - Know Your Customer (KYC) Direction, 2016, Regulated Entities are mandatorily required to obtain explicit consent from the customer to retrieve their records using the CKYC number (KYC Identifier) for the purpose of establishing an account-based relationship. Hence, we shall need an explicit consent for the same. We have shared a format of consent for your reference.

To,

Shri Ram Finance Corporation Private Limited

Subject: Consent to retrieve KYC records from CKYC registry

I/We hereby provide my consent and authorize the Company and/or its affiliated partners to download my 'Know Your Customer' records/information from the Central KYC Registry. I am/We are aware that my/our KYC records/information would be downloaded from the Central KYC Registry, solely for performing customer due diligence on me/us. I/We further declare that the data/ information on the Central KYC Registry is updated and has not been subjected to any change, as on the date of application.

(Name of the Individual/ Authorised Signatory)

## **END USE DECLARATION CUM UNDERTAKING**

To,

SHRI RAM FINANCE CORPORATION PRIVATE LIMITED,

Reg Off: Raipur Road Baloda Bazar, Raipur, Chhattisgarh, 493332 Head Off: 29/B-7, Parishram Tower,  
Shankar Nagar, Raipur, Chhattisgarh 492007

Dear Sir/s,

**Sub :** Declaration cum Undertaking – End use for utilisation of loan amount.

**Ref :** Loan for Rs. 45000 availed by me/us on (Date) Ref; Application No : 24-3997035

I/we do hereby solemnly affirm, declare and undertakes that the entire loan amount availed by me/us will be utilised for the purpose of working capital requirement of business.

I/we hereby assure and undertake that the above funds will be utilize for the purpose for which it is sanctioned and will not be used for any illegal purposes, capital market, speculative activities and any other prohibited activities or such other list of business / industries as may be intimated by your company from time to time.

I/we further undertake and confirm that we will unconditionally indemnify the company and their assignees against such claims, losses, liabilities, actions, expenses and damages whatsoever, that they may at any point time, incur or suffer, in view of them having relied on this declaration in connection with the validity or enforceability thereof.